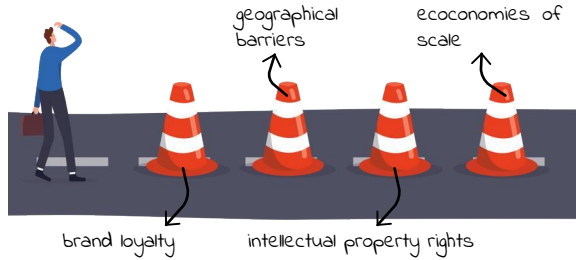


- Some of the factors can lead to high barriers to entry in an industry.



- Analysts must identify the barriers to entry in an industry, as they make it difficult to add new capacity quickly, thus allowing existing players to earn superior profitability for a long.

6. Analysts should also keep track of the **supply scenario of substitute product industries.**



Value proposition of the Substitutes becomes stronger.

- This would lead to a shift in demand from the given industry to the substitute industry and thus make the demand-supply scenario unfavorable to the industry by building overcapacity.
- However, the ability of the customers to switch to the substitute industry is determined by an important factor called **switching costs**. Switching costs refer to the costs for the buyer while switching to a substitute product, against the benefits received with switching.

